

Has the Bank of Japan Regained Control of Japanese Interest Rates?

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Research Question

Has the Bank of Japan regained control of Japanese interest rates following the end of Yield Curve Control, or do Federal Reserve policy decisions continue to exert greater influence on Japanese financial conditions?

Finding

The event-study results do not support the hypothesis that Federal Reserve announcements generate larger Japanese government bond yield reactions than Bank of Japan announcements. Post-exit average absolute JGB movements were larger around BOJ policy events than around Federal Reserve events.

Background

Japan is the largest foreign holder of U.S. Treasury securities and maintains one of the world's largest sovereign debt markets (U.S. Department of the Treasury, 2026). Because Japanese investors actively allocate capital across global fixed-income markets, changes in U.S. monetary policy may influence Japanese interest rates and exchange rates even after domestic policy normalization.

The question became more important after the Bank of Japan ended its Quantitative and Qualitative Monetary Easing framework with Yield Curve Control and shifted to guiding the short-term interest rate as its primary policy tool (Bank of Japan, 2024). If Japanese yields continue to respond primarily to Federal Reserve actions, Japan's monetary independence may remain limited despite policy normalization.

Methodology

This study evaluates market reactions to major Federal Reserve and Bank of Japan policy announcements between September 2023 and September 2026.

Three financial series were analyzed:

- U.S. 10-Year Treasury Yield
- Japan 10-Year Government Bond Yield
- USD/JPY Exchange Rate

The market series were obtained from the Federal Reserve Bank of St. Louis FRED database: DGS10 for the U.S. 10-year Treasury yield, IRLTLT01JPM156N for Japan's 10-year government bond yield, and DEXJPUS for the USD/JPY exchange rate (Board of Governors of the Federal Reserve System, 2026a, 2026b; Organisation for Economic Co-operation and Development, 2026).

Event windows were measured using the nearest available trading days surrounding each policy announcement date. Yield changes were calculated using the change from $t-1$ to $t+1$. The Bank of Japan's March 19, 2024, policy-framework change was treated as the structural-break event itself and excluded from both the pre-exit and post-exit samples (Bank of Japan, 2024).

Results

U.S. and Japanese Government Bond Yields

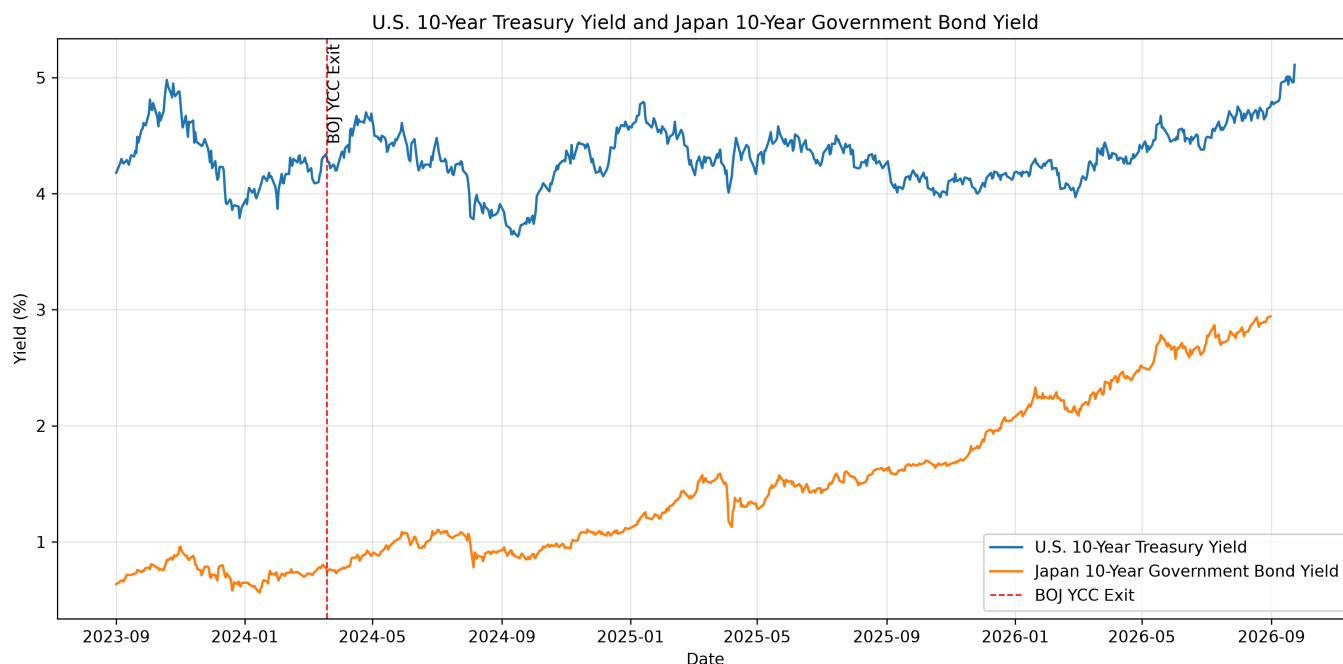


Figure 1. U.S. 10-Year Treasury Yield and Japan 10-Year Government Bond Yield, September 2023–September 2026.

Sources: Board of Governors of the Federal Reserve System via FRED (DGS10); OECD via FRED (IRLTLT01JPM156N).

Figure 1 compares U.S. Treasury yields and Japanese government bond yields over the study period. The data show that both markets experienced rising yields after 2024, although U.S. Treasury yields remained substantially higher throughout the sample.

USD/JPY and Yield Differentials

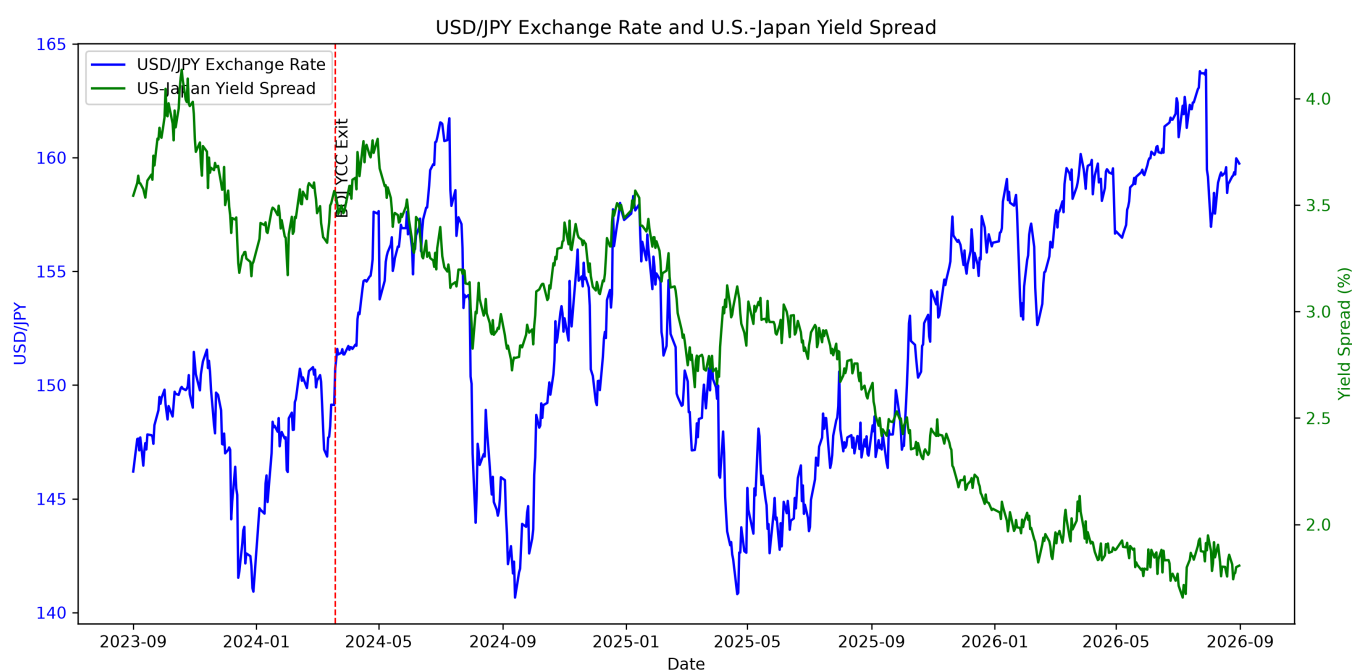


Figure 2. USD/JPY Exchange Rate and U.S.–Japan 10-Year Yield Spread, September 2023–September 2026.

Sources: Board of Governors of the Federal Reserve System via FRED (DGS10 and DEXJPUS); OECD via FRED (IRLTLT01JPM156N).

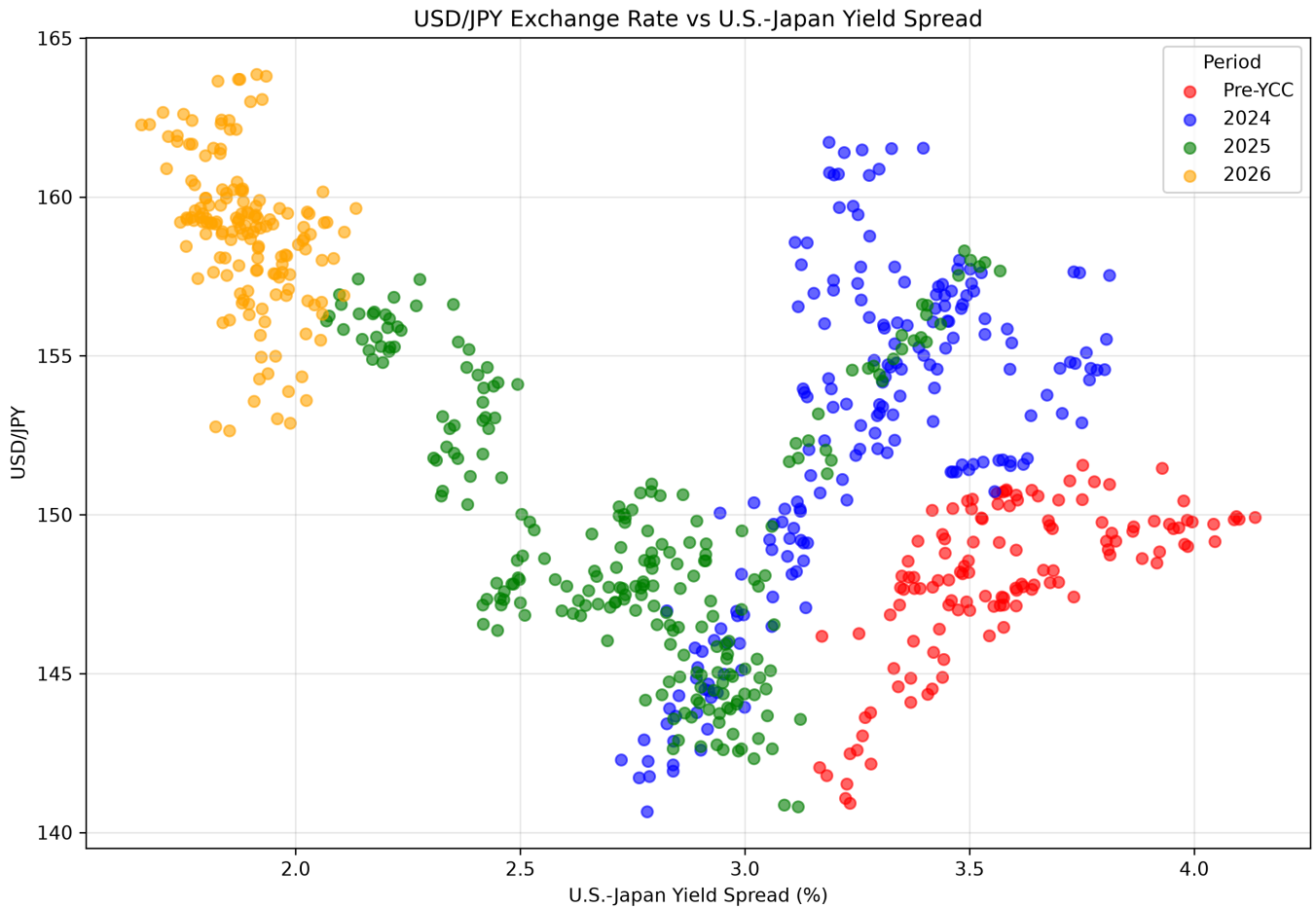


Figure 2B. USD/JPY Exchange Rate and U.S.–Japan 10-Year Yield Spread by Policy Period.

Sources: Board of Governors of the Federal Reserve System via FRED (DGS10 and DEXJPUS); OECD via FRED (IRLT01JPM156N).

Figures 2 and 2B compare the USD/JPY exchange rate with the U.S.-Japan yield spread. The figures suggest a relationship between interest-rate differentials and exchange-rate movements, though the relationship varies across time periods.

Event Study Results

Post-exit average absolute JGB movements were:

- BOJ announcements: 3.02 basis points
- Federal Reserve announcements: 2.60 basis points

The difference between the two groups was -0.42 basis points. The predefined hypothesis required Federal Reserve reactions to exceed BOJ reactions by at least 5 basis points. That condition was not met.

Interpretation

The results do not support the claim that Federal Reserve announcements exert greater influence on Japanese government bond yields than Bank of Japan announcements following policy normalization. Instead, BOJ announcements generated slightly larger average JGB reactions during the post-exit period. The difference was small, suggesting that both central banks continue to influence Japanese financial conditions.

Recommendation

Because no economically meaningful Federal Reserve advantage was observed, corporate treasurers should monitor both Federal Reserve and Bank of Japan policy announcements when assessing Japanese interest-rate risk. Additional analysis is needed before determining whether policy influence differs across bond yields, exchange rates, and broader financial markets. A potential objection is that the post-exit sample period is still relatively short; however, the available evidence does not yet support giving Federal Reserve announcements greater weight than Bank of Japan announcements.

Open Questions

- How large is a typical two-day JGB move relative to the observed event-study differences?
- Do exchange-rate reactions show a different pattern from bond-yield reactions?
- Does extending the sample period change the relative importance of BOJ and Federal Reserve announcements?

References

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